

inferred that monies flowed into or out of this Bank in connection with the transactions at issue.

Weighing the privacy concerns against the need shown, or lack thereof, the Court concludes that Plaintiffs have not made a sufficient showing on this record of basis to require the disclosure of the Bank Records over the privacy objection by Defendant R. Horton.

Nonetheless, nothing herein suggests that Defendant R. Horton would not be obligated to produce banking records in his custody, possession or control regarding the transactions at issue. The Court only rules that Plaintiffs' Subpoena, framed as it is for the production of all of Defendant R. Horton's banking records during the described time period, fails to overcome the privacy objection interposed.

Other Issues

In light of the foregoing, the Court need not consider the other issues raised by Defendant R. Horton as to the validity of the Subpoena.

Disposition

The Court finds and orders as follows:

1. The Motion to Quash is GRANTED.
2. The Subpoena is hereby QUASHED and the Bank shall not produce any documents to the requesting party in response to it. Any documents previously produced by the Bank pursuant to the subpoena, if any, shall be returned, forthwith, to the custody of the moving party.
3. The Court shall issue the order after hearing.

2. 9:00 AM CASE NUMBER: C23-02305
CASE NAME: ELIZABETH REYES VS. WESTERN DENTAL SERVICES, INC
***HEARING ON MOTION FOR DISCOVERY COMPEL DEFENDANT TO PAY ALL ARBITRATION FEES**
FILED BY: REYES , ELIZABETH
TENTATIVE RULING:

Plaintiff Elizabeth Reyes ("Plaintiff") filed a Motion to Compel Defendant to Pay All Arbitration Fees on March 17, 2026 (the "Motion to Compel Payment of Fees"). The Motion to Compel Payment of Fees was initially set for hearing on September 14, 2026. The Court advanced the hearing date to July 6, 2026. The motion is opposed.

Background

This matter began with a Complaint filed by Plaintiff on September 13, 2023. The Complaint alleges various claims against Plaintiff's former employer, defendant Western Dental Services, Inc. ("Western Dental").

Pursuant to the stipulation of the parties (the "Stipulation"), the matter was referred to binding arbitration under a written arbitration agreement between the parties (the "Arbitration Agreement"). See Joint Stipulation to Binding Arbitration and Order thereon filed September 16, 2024 (the "Arbitration Order") and **Exhibit A** thereto.

The Court's Minute Order dated December 6, 2024 reflects that the parties sought additional time to complete the arbitration. A further Case Management Conference (CMC) was set for May 29, 2025. At

that time, the parties reported that the arbitration was scheduled for December 2025. A further CMC was set for January 7, 2026. At the CMC in January 2027, the Court was again advised that the matter was set for arbitration in March 2026, although there was reference to an issue regarding the payment of arbitration fees. The CMC was continued again to June 5, 2026.

This motion followed.

Analysis

As set forth in the Stipulation approved by the Court's Arbitration Order, Western Dental is required "to pay all arbitrator's fees and costs unique to arbitration, including all filing fees." See Stipulation, ¶4.

Plaintiff details the parties' agreement to arbitrate before Eve Wagner of Signature Resolution (the "Arbitrator"). See Declaration of Sylvia V. Panosian filed March 17, 2026 ("Panosian Decl.") ¶5. Various proceedings were conducted as the arbitration proceedings moved forward. See *id.* at ¶6 *et seq.*

On November 14, 2025, an arbitration invoice was issued for \$23,000.00 (the "November 14th Invoice"). *Id.* at ¶15. That remained unpaid by Western Dental as of the time of the motion. *Id.* In January 2026, Western Dental's counsel indicated that Defendant likely cannot pay for arbitration. *Id.* at ¶20.

By January 17, 2026, Signature Resolution sent notice regarding two unpaid invoices. *Id.* at ¶21 and **Exhibit 15** thereto. The Invoice dated December 15, 2025 was for \$177,100.00 and was inclusive of multiple full day arbitration session (at \$23,000 per each session) plus various other line items relating to the conduct of the binding arbitration. That invoice was due upon receipt. *Id.* The other was the November 14th Invoice in the amount of \$23,000.00. That invoice was due upon receipt as well. *Id.* These amounts total \$200,100.00 (the "Fees").

On January 22, 2026, the Arbitrator vacated the hearing date in light of the non-payment of the fees by Western Dental and Plaintiff advising the Arbitrator that a court motion would be made to deal with the matter. *Id.* at ¶22 and **Exhibit 16** thereto.

Code of Civil Procedure section 1281.98 provides that in an employment arbitration where the drafting party has failed to pay the required arbitration provider fees, the other party employee "may unilaterally elect" certain remedies. See Code Civ. Proc. § 1281.98(a) and (b). Those remedies include seeking an order "compelling the drafting party to pay all arbitration fees that the drafting party is obligated to pay under the arbitration agreement or the rules of the arbitration provider." *Id.* at § 1281.98(b)(3).

Plaintiff has properly elected its statutorily proscribed remedy for Western Dental's failure to pay the Fees and this Court concludes that it is just and appropriate compel it to comply with its obligation to pay the Fees in accordance with Section 1281.98.

Western Dental contends that it is not obligated to pay the Fees because Section 1281.98 is preempted by the Federal Arbitration Act (9 U.S.C. § 1 *et seq.*) (the "FAA"). Plaintiff counters that the arbitration here is not governed by the FAA because of the parties' Stipulation to proceed under the California arbitration statutes.

Western Dental is correct that the Arbitration Agreement is governed by the FAA. This is expressly provided for in the subject agreement, incorporated into the Court's Arbitration Order:

This Agreement evidences a transaction involving commerce and is governed by the Federal Arbitration Act, 9 U.S.C. § 1 et seq. The arbitration shall be conducted using the American Arbitration Association's

Arbitration Agreement, p. 1, Arbitration Order, **Exhibit A**.

Nonetheless, the Court has considered and rejects the argument that because the FAA applies, Section 1281.98 is preempted. As addressed in the reply, the California Supreme Court has recently held that Section 1281.98 is not preempted by the FAA. *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310, 323 (“*Hohenshelt*”) (“We hold that section 1281.98, properly construed, is not preempted by the FAA.”).

Even the one case noted by *Hohenshelt* to have been the “one exception” to the cases where the Courts of Appeal have upheld the CAA’s payment provisions against preemption challenges—*Hernandez v. Sohnen Enterprises, Inc.*—observed that preemption does not apply to state laws that regulate arbitration without undermining the FAA’s substantive policies. See *Hernandez v. Sohnen Enterprises, Inc.* (2024) 102 Cal.App.5th 222, 243 (“*Hernandez*”) (“State laws that regulate arbitration without undermining the FAA’s substantive policies are not preempted.”); see also *Hohenshelt, supra*, 18 Cal.5th at 326. The provisions of Section 1281.98 regarding payment of fees serve to promote and not undermine the FAA’s policy in favor of arbitration. See *Hohenshelt, supra*, 18 Cal.5th at 348 (“**Indeed, it would be ironic if the FAA’s policy of enforcing agreements to arbitrate effectively cannibalized a state law that aims to keep parties to such agreements moving forward in arbitration by requiring timely payment of arbitration fees.**”) (emphasis added).

Nor is the Court persuaded by Western Dental’s arguments to the effect that it should not be compelled to pay the Fees because doing so would not “just and reasonable” or would otherwise be unfair. In the days of \$2,000+ hourly mediator/arbitrator fees, there is nothing shocking about a \$23,000 per day cost for a full-blown binding arbitration process. Importantly, Western Dental knew the costs at the outset. Indeed, the \$23,000 amount appears on Signature Resolution’s standard Rate and Fee Schedule which Western Dental’s received when the retention was agreed upon back in 2024. Panosian Decl., ¶¶6-8 and **Exhibit 6** thereto. Yet, it was content to continue with the process and the Arbitrator it had agreed to select.

Moreover, there is nothing in the opposition declarations that even purport to proffer admissible evidence to demonstrate that the Fees are unreasonable. Western Dental does not offer any survey of comparable rates for similar services or the like. That it may not have had cash on hand “reasonably available in the ordinary course of business to satisfy the full amounts” does not render the Fees unjust, unreasonable or unfair to such an extent that the Court concludes that Western Dental should be found to be able to avoid its statutory obligations under California law. See Declaration of Alex Santana, ¶4. Nonetheless, the Court has considered these asserted circumstances in fashioning the order made herein.

Sanctions

Code of Civil Procedure section 1281.98 addresses sanctions. See Code Civ. Proc. § 1281.98(d). The arbitrator “shall impose appropriate sanctions” where the employee continues in arbitration pursuant to paragraphs (2) through (4) of Subdivision (b). *Id.*

Plaintiff has elected to continue the arbitration pursuant to Paragraph (2) of Subdivision (b) of Section 1281.98. Accordingly, the issue of the imposition of further sanctions is left to the Arbitrator for determination in due course.

Disposition

The Court finds and orders as follows:

1. The Motion to Compel Payment of Fees is GRANTED.

2. Western Dental is ordered to pay the Fees within thirty (30) days of notice of entry of this order unless on or before such date it has made such other arrangements for the payment of the fees acceptable to the arbitration service provider to permit the arbitration to be rescheduled and proceed with all deliberate speed. Nothing in this order addresses or shall affect any right to any refund of any portion of the Fees in accordance with the rules or agreements governing the arbitration service provider's fees.
3. The moving party shall prepare the order after hearing.

3. 9:00 AM CASE NUMBER: C24-02117
CASE NAME: ADRIENNE THOMAS VS. PACIFICA GAS AND ELECTRIC COMPANY
***HEARING ON MOTION IN RE: LEAVE TO FILE SECOND AMENDED COMPLAINT**
FILED BY: THOMAS, ADRIENNE
TENTATIVE RULING:

Before the Court is a motion by plaintiff Adrienne Thomas to file a second amended complaint. For the reasons set forth, the motion is **GRANTED** on the terms set forth in the conclusion and ruling below.

Background

This action commenced on August 14, 2024 when Plaintiff filed a complaint alleging a cause of action for breach of contract against defendant Pacific Gas and Electric Company, but also making allegations of "illegal business practices, based on fraud." (Compl. ¶¶ 8, 9.) Though Plaintiff asserts her complaint was for Declaratory and Injunctive Relief (Mot. for Lv. p. 2), the complaint on its face sought monetary damages and neither declaratory nor injunctive relief. (Compl. ¶ 10.) The complaint attached an April 9, 2024 "right to sue" letter issued by the Civil Rights Department of the State of California ("CRD," formerly, the Department of Fair Employment and Housing ("DFEH")), which in turn attached a copy of Plaintiff's complaint to the CRD in which she alleged violations of the California Fair Employment and Housing Act, Government Code section 12900, *et seq.* ("FEHA"), including discrimination on various grounds and wrongful termination. PG&E filed an answer to the complaint on September 13, 2024.

PG&E has removed the case to the United States District Court for the Northern District of California three times since the action was filed, on September 13, 2024, December 17, 2024, and July 14, 2025. The case has been remanded to this Court each time by orders of the federal district court reflected in filings made in this Court on November 8, 2024, March 6, 2025, and December 11, 2025.

After the case was filed, Plaintiff apparently participated in an arbitration proceeding, and on June 11, 2025, Plaintiff filed a motion to vacate the arbitration award. Based on Plaintiff's motion to vacate the arbitration award, the arbitration appears to have been conducted pursuant to a grievance procedure in a collective bargaining agreement between Plaintiff's union, Engineers and Scientists of California, Local 20, IFPTE, AFL-CIO & CLC, and PG&E dated March 1, 2023 (the "CBA"). (6/11/2025 Mot. to Vac. Arb. Award Attachment.)

Plaintiff's motion to vacate the arbitration award was set for hearing on September 15, 2025. The